THE ANATOMY OF INDIA'S JOB MARKET

1.48
BILLION
TOTAL POPULATION OF INDIA

29
YEARS
MEDIAN AGE

616
MILLION
NUMBER OF PEOPLE AGED 15 YEARS AND ABOVE WHO ARE EMPLOYED

7-8
MILLION
ESTIMATED NEW ENTRANTS INTO THE LABOUR FORCE ANNUALLY

3.1%
UNEMPLOYMENT RATE IN 2025

9.9%
UNEMPLOYMENT RATE FOR PERSONS AGED 15-29 YEARS IN 2025

about 0.5 million contract employees," he contends.

Both Mishra and Siddhu point to the rise in the number of contractual workers in government jobs and say they have long working hours and do not get the assigned salary, a large chunk of which is pocketed by the contractor. "There are about 1.1 million outsourced workers in central government—including railway—jobs. This saves costs but leads to huge exploitation," says Mishra. He asserts that unemployment in the country continues to be a big issue. "Even if there are no paper leaks, where are the jobs for the youth? Look at what is happening in the government sector," he says.

Siddhu agrees that the focus is now more on outsourcing and contractual workers, which leads to exploitation of these workers.

The Centre has taken measures to improve recruitment for public services and has been organising Rozgar Melas (employment fairs) to fill vacancies in sanctioned posts. The process is undertaken through recruitment mechanisms and designated agencies such as the Union Public Service Commission, Staff Selection Commission, and Railway Recruitment Boards. Since their launch in October 2022 with an initial target of 1 million government jobs, Rozgar Melas have been rapidly expanded and in 20 editions have facilitated the distribution of 1.27 million appointment letters till date, according to official data.

The government is also considering a proposal for a common calendar for competitive exams to ensure the dates do not clash.

But while the lure of getting a solid, dependable government job continues to have many takers, these account for an estimated 10% of the job market, and the onus of employment creation remains on the private sector.

NO EASY SOLUTIONS

The Economic Survey of 2023-24 had asserted the need to create 7.85 million jobs annually on average till 2030 in the non-farm sector to meet the needs of the rising workforce. But that is easier said than done.

Both students and employers talk about the disconnect between the classroom and the workplace. Experiments like the Prime Minister Internship Scheme have had a limited impact. Experts reiterate the need to create more jobs in manufacturing, keep reskilling and upskilling, and getting vocational education into the mainstream.

Sharma of the Institute of Human Development says in the short term, an unemployment dole or benefit could help the educated youth. In the rural sector, there was the Mahatma Gandhi National Rural Employment Guarantee Act and now the VB-G RAM G but in urban areas, there is no such fallback for educated unemployed people. "However, it is also a matter of resources," Sharma notes.

Chief Economic Adviser V. Anantha Nageswaran recently asked the private sector to focus on job creation and fair wages. "The private sector must invest, must hire and must compensate fairly and also invest in R&D because the next 20 years are going to be very different from the last 80 years post-World War II," he had said at an Assocham event, adding that India has to find ways in which AI can be used to complement rather than displace labour.

But a bigger worry is also the large number of youth not in education, employment and training (NEET), which was the highest in the age group of 25-29 years followed by those in 20-24 years. "The age group 15–29 years represents a crucial phase of transition from education to the labour market, characterised by significant shifts